SmartTaxIQ

SEASONAL PREPARER TRAINING · TAX YEAR 2026

Tax Academy Student Workbook

Ten weeks from first principles to your first client. Write in it, bring it to every session, and keep it on your desk in January.

WEEKS	MODULES	PRACTICE RETURNS	EXAM
10	9	4	1

NAME

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SMART TAX IQ TAX ACADEMY · TAX YEAR 2026

Student Workbook

Your working copy for the ten weeks. Write in it. Bring it to every session, keep it on your desk in January, and it becomes the reference you actually use.

Name	_____
Cohort starting	October 1, 2026

How to use this

The course page online has the teaching. This book is where you do the thinking. The two are meant to be used together, and neither works well on its own.

- **Write in it by hand.** You will remember roughly twice as much as you would from typing, and the pages with your own handwriting on them are the ones you will actually turn back to in February.
- **Try before you look.** Every scenario in here also appears on the course page with a worked answer. Attempt it here first. Getting one wrong in October is free.
- **The figures sheet is not gospel.** Several numbers on it are confirmed each October and a few are still blank on purpose. Filling them in yourself, from the source, is part of the training.
- **Assignments are at the end of each module.** Deadlines are Friday of the week shown. Send them to your trainer however your group agreed.

THE ONE HABIT THAT MATTERS MOST

By December you will have forgotten most of the detail in this book, and that is fine. What has to survive is this:

Ask. Write down what they said. Then decide.

Nearly every penalty a preparer ever pays comes from skipping one of those three. Nearly every difficult client conversation gets easier when you have done all three.

REFERENCE · KEEP THIS PAGE FINDABLE

Figures sheet — tax year 2026

For returns filed in 2027. You may use this sheet in the final exam, and you will have it on your desk in January. Numbers change every year; the method does not.

Standard deduction

FILING STATUS	AMOUNT
Single / Married filing separately	$16,100
Married filing jointly	$32,200
Head of household	$24,150

Additional amount — age 65 or over, or blind

SITUATION	EXTRA, PER QUALIFYING CONDITION
Married (each spouse who qualifies)	$1,650
Unmarried	$2,050

Earned Income Tax Credit

QUALIFYING CHILDREN	MAXIMUM CREDIT	CEILING — SINGLE OR HOH	CEILING — JOINT
None	$664	$19,540	$26,820
One	$4,427	$51,593	$58,863
Two	$7,316	$58,629	$65,899
Three or more	$8,231	$62,974	$70,224

THE INVESTMENT INCOME CLIFF

Investment income above $12,200 disqualifies the credit entirely. Over by one dollar and the whole thing is gone. There is no tapering and no rounding.

Schedule 1-A — the new deductions

DEDUCTION	MAXIMUM	PHASES OUT ABOVE
Qualified tips	$25,000	$150,000 · $300,000 joint
Qualified overtime (the premium only)	$12,500 · $25,000 joint	$150,000 · $300,000 joint
Senior deduction, 65+	$6,000 · $12,000 if both	$75,000 · $150,000 joint
Car loan interest	$10,000 — confirm the current cap	$100,000–$150,000 · $200,000–$250,000 joint

CAR LOAN INTEREST — THE CONDITIONS

- ☐ New vehicles only, assembled in the United States
- ☐ Purchased between January 1, 2025 and December 31, 2028
- ☐ Claimable whether the client itemizes or takes the standard deduction
- ☐ Married clients must file jointly for tips, overtime and the senior deduction

This is Detroit. Ask every single client.

Detroit — which form

FORM	WHO	WHAT IS TAXED
5118	Lived in Detroit all year	All income, resident rate
5119	Lived outside, worked in Detroit	Detroit-earned income only, lower rate
5120	Moved in or out during the year	Split across both periods

Fill these in yourself, from the source

These move, and looking them up is the habit we are training. Write the figure, the date you checked it, and where you found it.

WHAT	WHERE IT LIVES	FIGURE	CHECKED
Due diligence penalty, per failure	IRS.gov/Form8867		
PTIN fee, 2027	IRS Tax Professional portal		
Standard mileage rate, TY2026	IRS.gov		
Michigan income tax rate	michigan.gov/taxes		
Homestead credit — income limit	MI-1040CR instructions		
Homestead credit — taxable value limit	MI-1040CR instructions		
Detroit resident rate	detroitmi.gov		
Detroit non-resident rate	detroitmi.gov		

MODULE 0 · WEEK 1

Professional Requirements & Responsibilities

Before you learn a single line of a tax return, two things have to be true: you are legally allowed to be paid for this work, and you understand what happens when it goes wrong.

Your PTIN

A PTIN is a Preparer Tax Identification Number. The IRS issues it to you, personally, and it goes on every return you touch. Anyone who prepares, or helps prepare, a federal return for money must have one. Not the firm — you.

DO THIS IN WEEK 1, NOT WEEK 3

Register online at the IRS Tax Professional portal. About fifteen minutes.

- ☐ Registered online — not the paper form, which takes six weeks
- ☐ Applied for a **2027** PTIN — PTINs run on the calendar year you are working in, not the tax year of the return
- ☐ Confirmation sent to my trainer

My PTIN	_____
Date issued	_____

The five things from Circular 230

You do not need to memorize the rulebook. You do need to live by these. Write each one in your own words — the point of the exercise is that you have to think about what it means.

1 · Due diligence is constant — it is the questions you ask all the way through, not a form at the end

2 · You cannot sign a return you know is wrong. Not "probably fine". Not "the client insisted"

3 · Your fee can never be a share of the refund

4 · Keep your records — three years

5 · Do not overstate what you are. You are a tax preparer, not an enrolled agent or a CPA

WHAT ONE CARELESS RETURN COSTS

There is a penalty for failing to do your due diligence, and it applies once per credit, not once per return:

- Earned Income Tax Credit
- Child Tax Credit family
- American Opportunity Credit
- Head of Household status

One return can carry all four. The IRS can assess the firm for your failures as well, and can suspend the firm from e-filing altogether. One preparer being careless can end everybody's season.

The dollar amount is indexed for inflation and changes every year, so do not memorize it — look it up each October and write it on your figures sheet. The structure is what you keep: four times, per return, plus the firm.

Client information

You will be handling Social Security numbers, incomes, addresses and children's names. Treat every file like it is your own.

- Never on personal email, personal cloud storage, or an unlocked phone
- Working from home? Only on the device the firm has approved, and lock it when you step away
- Never discuss a client's return where anyone can overhear — including family

IF SOMETHING GOES WRONG

Lost a device, or sent a file to the wrong person? Tell your trainer within the hour. You will not be in trouble for reporting it fast. You will be for hiding it.

Write here, now, exactly what you would do and who you would contact. Doing it in advance is how you will actually manage it on the day:

ASSIGNMENT 1 · DUE FRIDAY OF WEEK 1

1. Register for a 2027 PTIN and send the confirmation to your trainer.
2. Read and sign the firm's security plan.
3. Write three sentences on what you would do if you sent a client's return to the wrong email address.

MODULE 1 · WEEKS 1–2

The 1040, End to End

Every return you ever prepare is this one form. Learn its shape now and everything afterwards has somewhere to sit.

A tax return is a story in five movements

Do not memorize line numbers — the software knows those. Learn the shape. When you meet something new later, a Schedule C or the EITC or a Detroit return, ask which movement it belongs to. It always belongs to one of them.

#	MOVEMENT	WHAT SITS HERE
1	Who you are	Name, Social Security number, filing status, who else is in the household
2	What came in	Wages, self-employment, everything else
3	What comes off	Adjustments, then the standard deduction (or itemized, which is rarer than you would think)
4	What's owed	The tax, then credits that reduce it
5	What's already been paid	Withholding and refundable credits. The difference is the refund, or the bill

PUT THESE IN THE RIGHT MOVEMENT

Write 1–5 beside each. Do it from memory before you check.

ITEM	MOVEMENT
Head of Household status	
Rideshare income with no 1099	
Federal tax withheld, W-2 Box 2	
Earned Income Tax Credit	
The standard deduction	
A dependent grandchild	
Self-employment tax deduction	
Qualified tips deduction	

The W-2 — the boxes that matter

BOX	WHAT IT IS	WHY YOU CARE
1	Federal taxable wages	The income figure on the return
2	Federal tax withheld	The main driver of the refund
3 & 5	Social Security and Medicare wages	Often higher than Box 1
12	Coded items	Retirement, health coverage, and more
15–17	State wages and withholding	Feeds the Michigan return
18–20	Local wages and withholding	Detroit. Miss this and you miss a whole return

WORKED EXAMPLE — WHY BOX 1 AND BOX 3 DIFFER

A client's W-2 shows Box 1: $38,000 and Box 3: $41,500. She wants to know which one is her real salary.

Both are real. They measure different things. Her gross pay was $41,500. She put $3,500 into a retirement plan, which comes out before income tax is calculated, so her taxable wage is $38,000. Social Security tax is still charged on the full amount, which is why Box 3 did not drop.

The version you say to her: *"You earned $41,500. You saved $3,500 of it into your retirement plan before tax, so you are only taxed on $38,000."*

YOUR TURN

A different client's W-2 shows Box 1 of $44,200 and Box 3 of $46,900. He asks why. Write what you would say to him, out loud, in plain words. No jargon.

Who has to file — and who should anyway

Whether someone is required to file depends mostly on whether their income is above the standard deduction for their status. But the more important point is this:

PLENTY OF PEOPLE WHO DO NOT HAVE TO FILE ABSOLUTELY SHOULD

Someone who earned $9,400 and has two children is not required to file. They may also be owed several thousand dollars, because refundable credits and withheld tax only come back if a return is filed.

You will meet this client. Telling them they do not have to file, and leaving it there, is the wrong answer.

WRITE THE SENTENCE YOU WOULD ACTUALLY SAY TO THAT CLIENT

ASSIGNMENT 2 · DUE FRIDAY OF WEEK 2

Finish this module's pages, then: using the sample W-2 your trainer provides, write down which of the five movements each of Boxes 1, 2, 12, 17 and 19 belongs to. Then write one sentence explaining Box 19 to a client who has never heard of city tax.

The Box 19 sentence is the real assignment. Plain English, no jargon, no apologizing.

MODULE 2 · WEEK 3

Filing Status

One decision, made in the first two minutes of the interview, that changes more money than almost anything else on the return — and something the IRS penalizes you for getting wrong.

THE RULE THAT SETTLES A THIRD OF ALL QUESTIONS

Marital status is decided on December 31. Not on average over the year. Not when they separated.

Divorced on December 30? Unmarried for the entire year. Married on December 30? Married for the entire year.

Ask the date. Every time.

Head of Household — three tests, all required

All three. Not two out of three. Write them from memory each time you meet a HOH question until you no longer need to.

TEST	WHAT IT ASKS
1	Unmarried on December 31 — or "considered unmarried"
2	Paid more than half the cost of keeping up the home for the year
3	A qualifying person lived with them for more than half the year

Cost of keeping up a home

COUNTS	DOES NOT COUNT
Rent or mortgage interest, property taxes, home insurance, utilities, repairs, food eaten in the home	Clothing, education, medical care, holidays, the value of the client's own work around the house

THE EXCEPTION WORTH REMEMBERING

A dependent parent is a qualifying person even if they do not live with your client — as long as your client pays more than half the cost of the parent's home. A parent in a care home can still make someone Head of Household.

“Considered unmarried”

A client who is still married can sometimes still file Head of Household — but every one of these must be true. Check them off on a real client and if any one fails, stop.

- ☐ They file a separate return
- ☐ They paid more than half the cost of the home
- ☐ Their spouse did not live in the home at any point during the last six months of the year
- ☐ The home was their child's main home for more than half the year
- ☐ They can claim that child as a dependent

THIS IS WHERE IT IS WON OR LOST

The six-month rule catches people out constantly. A spouse who moved out in September was in the home in July. That fails.

So the question is never “are you separated?” It is “what date did they move out?” And you write the date down.

DRAW IT

Mark the twelve months of 2026 on the line. Shade the last six. Now mark September 12, the day a client's spouse moved out, and see for yourself why Head of Household is not available.

Scenario worksheets

Work these before you look at the answers on the course page.

1 OF 4 · DENISE

Denise lived with her boyfriend for all of 2026. She paid the entire rent and every utility bill; he contributed nothing. They have no children. He is not related to her.

Which test are you relying on, and which one is at risk?

Your answer:

What would you ask the client before deciding?

2 OF 4 · MARCUS

Marcus's divorce was finalized on December 18, 2026. His nine-year-old daughter lived with him all year and he paid every bill in the house.

Which test are you relying on, and which one is at risk?

Your answer:

What would you ask the client before deciding?

3 OF 4 · ANGELA

Angela's husband moved out on September 12, 2026 and has not been back. Their son lived with Angela all year and she pays the mortgage. She is certain she qualifies as Head of Household because “he's gone”.

Which test are you relying on, and which one is at risk?

Your answer:

What would you ask the client before deciding?

4 OF 4 · RUTH

Ruth is 58, unmarried, and has raised her seven-year-old grandson since 2023. He lives with her full time and she supports him entirely.

Which test are you relying on, and which one is at risk?

Your answer:

What would you ask the client before deciding?

WHY THIS IS A DUE-DILIGENCE ITEM

Head of Household is covered by Form 8867, the same form as the credits. The same penalty applies here.

“The client told me she was head of household” is not due diligence. Asking who lived in the home, for how many months, and who paid the bills — and recording the answers — is.

ASSIGNMENT 3 · DUE FRIDAY OF WEEK 3

Finish this module's pages, then:

1. Write the five intake questions you would ask a new client to establish filing status, in the order you would ask them.
2. Write the file note you would put on Angela's return.

The order matters. So does the note — it needs a date, what you asked, what they said, and what you saw.

MODULE 3 · WEEKS 4–5 · THE BIG ONE

The Earned Income Tax Credit

The largest credit most of our clients will ever claim. It is also the most audited item on the return and the one that carries the penalty. Take your time with this module.

What “earned” means

EARNED	NOT EARNED
Wages, salary, tips, net profit from self-employment	Unemployment compensation, Social Security, child support, alimony, pensions, investment income

THE CONVERSATION NOBODY WANTS

A client whose entire year was unemployment has no EITC. That is a hard thing to say, and it is far better said at your desk than in a letter from the IRS eight months later.

Write how you would say it:

Three things that kill the credit outright

1. Anyone on the return without a valid Social Security number
2. Investment income over $12,200 — over by a single dollar and the whole credit is gone. No tapering.
3. The client is themselves someone else's qualifying child

The four tests — R · A · R · J

	TEST	WHAT IT REQUIRES
R	Relationship	Son, daughter, stepchild, foster child, brother, sister, half- or step-sibling — or a descendant of any of them. Grandchildren, nieces and nephews count. A cousin does not.
A	Age	Under 19 at year end and younger than your client; or under 24, a full-time student, and younger than your client; or any age if permanently and totally disabled.
R	Residency	Lived with your client in the United States for more than half the year. School, hospital and military service still count as living at home.
J	Joint return	The child did not file a joint return — unless it was purely to claim back withheld tax.

WRITE THE FOUR TESTS FROM MEMORY. DO THIS EVERY WEEK UNTIL IT IS AUTOMATIC.

When two people claim the same child

It happens constantly. The rules decide, in this order:

1. A parent beats a non-parent
2. Between two parents — whoever the child lived with for more nights
3. If the nights are equal — the parent with the higher income
4. If neither is a parent — the higher income, provided it beats any parent who could have claimed

THE TRAP

Income is the easier number to get hold of, so that is where people jump. Ask about nights first. Income only matters when the nights are equal.

Your four due-diligence duties

1. Complete and file Form 8867 with the return
2. Compute the credit using the worksheets — and keep them
3. Knowledge. You may not rely on information you know, or should know, is wrong, inconsistent or incomplete. Where something does not add up you must ask, and write down what you asked and what they said
4. Keep the records for three years

NUMBER 3 IS WHERE PREPARERS ACTUALLY GET CAUGHT

The test is simple: does this story hold together?

Someone reporting $13,800 of cash cleaning income with no expenses at all — no supplies, no gas — landing exactly where the credit peaks, is a story that needs a question asked of it. Not because they are dishonest. Because you are required to ask.

A NOTE THAT HOLDS UP — COPY THIS SHAPE

"Feb 14 — asked how many months D. lived with client in 2026. Client said Jan–Aug. Produced school enrollment letter showing client's address. Copy kept."

Fifteen seconds to write. Settles the whole question two years from now, when you will not remember this client at all.

Four things, every time: the date · what you asked · what they said · what you saw.

Scenario worksheets

1 OF 4 · KEISHA AND TERRANCE

They are not married and share custody of their daughter. In 2026 she stayed with Keisha for seven months and Terrance for five. Both want to claim her. Terrance earns $48,000; Keisha earns $22,000.

Which of the four tests is in question here?

What is the one question you must ask?

Your answer:

Write the file note:

2 OF 4 · CARL'S SON

Carl's son turned 19 in March 2026 and lived at home all year, working part time for $6,200. Can Carl claim him for EITC?

Which of the four tests is in question here?

What is the one question you must ask?

Your answer:

Write the file note:

3 OF 4 · YOLANDA'S NEPHEW

Yolanda's nephew came to live with her in August 2026 when his mother became unwell, and was still there at the end of the year.

Which of the four tests is in question here?

What is the one question you must ask?

Your answer:

Write the file note:

4 OF 4 · THE CASH CLEANING CLIENT

A new client reports $13,800 of cash income from house cleaning, no expenses at all, and two qualifying children. The figure lands right where the credit peaks. She has no records of any kind.

Which of the four tests is in question here?

What is the one question you must ask?

Your answer:

Write the file note:

ASSIGNMENT 4 · DUE FRIDAY OF WEEK 5

Finish this module's pages, then:

1. Complete a Form 8867 for the Keisha scenario.
2. Write three file notes — one each for Scenarios 1, 3 and 4.

Your trainer will mark the notes before the form. A perfect 8867 with vague notes is the profile most likely to generate a penalty.

MODULE 4 · WEEK 6

Side Hustles and Schedule C

Rideshare, hair, cleaning, resale, contracting. A large and growing share of our clients, and the place where the EITC and self-employment tax collide.

The form the money arrived on decides nothing

1099-NEC, 1099-K, an app payout, a personal check, cash in an envelope — if the work was a business, it all lands on a Schedule C.

Cash income is reportable whether or not anyone issued a form. Clients often genuinely do not know this. Say it plainly and without judgment.

PRACTICE SAYING IT

Expenses

The standard is ordinary and necessary. For our clients that usually means supplies, mileage, phone, a share of home costs, contract labor, and licenses.

Mileage is the big one and the one that gets challenged. The client needs a log. Commuting — home to the first job of the day — is not deductible.

When a client has no records at all: reconstruct what can honestly be reconstructed, write down how you did it, and be straight about what cannot be claimed.

Self-employment tax

Employees have Social Security and Medicare taken out, and the employer pays a matching amount. Someone self-employed pays both halves.

This is why a client who cleared $9,000 from a side hustle and expected a refund can end up owing. Half of it comes back as an adjustment, but the shock is real. Warn them, and start the conversation about estimated payments for next year.

WHERE THIS MODULE AND THE EITC MEET

Net self-employment profit is earned income for the EITC. Which means claiming fewer expenses can make a client's refund bigger.

Clients work this out. Some will ask you directly to leave expenses off.

The answer is no. You report the expenses that exist. Doing otherwise is a false return, it is a due-diligence failure, and it is exactly what the IRS looks for.

SCENARIO · THE RIDESHARE CLIENT

He nets $8,400 and has 6,100 logged business miles. He notices that if he leaves the mileage off, his EITC goes up by more than the tax the extra profit costs him. He asks you to do that.

Write what you would say. Then read it aloud. If it sounds like a maybe, write it again.

Now the other half — what can you actually do for him?

ASSIGNMENT 5 · DUE FRIDAY OF WEEK 6

A client brings you app payout summaries totaling $11,240, no log at all, and says “I drove a lot, just put something down.”

Write: what you would ask · what you could honestly reconstruct · what you would have to leave out · and the file note.

Inventing a mileage figure fails this assignment regardless of everything else on the page.

MODULE 5 · WEEK 7

Special Situations & the New Deductions

Veterans, retirees and the unemployed — plus a set of deductions nobody has years of experience with. Our clients are unusually likely to qualify.

Veterans' benefits

BENEFIT	TAXABLE?
VA disability compensation	No — do not report it
VA pension	No
GI Bill education benefits	No
Military retirement pay	Yes

CLIENTS GET THIS WRONG IN BOTH DIRECTIONS

Some report benefits they should not. Others leave off retirement pay they should. The question is never “do you get VA benefits?” — it is “which ones, by name?”

Social Security and unemployment

Social Security is taxable on a sliding scale depending on other income — anywhere from none of it up to a maximum of 85%. A retiree who takes a large withdrawal from an IRA can accidentally make their Social Security taxable, and gets surprised twice.

Unemployment is fully taxable, arrives on a 1099-G, and withholding is optional — which most people decline. So a client who was unemployed often owes. And from Module 3: it is not earned income, so it generates no EITC.

Schedule 1-A — four things to remember

1. Tips must have been reported to qualify. Unreported cash tips do not count.
2. Overtime means the overtime premium — not every dollar earned during overtime hours.
3. Married clients must file jointly to claim tips, overtime or the senior deduction.
4. Ask every single client. People do not volunteer information they do not know is worth money.

WRITE YOUR FIVE SCREENING QUESTIONS

Phrase them the way you would actually say them to a client. “Do you have qualified overtime compensation?” is a bad question. “Do you get paid extra for working overtime, and does it show separately on your pay stub?” is a good one.

ASSIGNMENT 6 · DUE FRIDAY OF WEEK 7

Finish this module's pages, then submit your five Schedule 1-A screening questions. No more than five — every extra question costs you time you do not have in February.

MODULE 6 · WEEK 8

Michigan & Detroit Returns

A perfect federal return is half a job. Almost every client who walks through our door also needs a Michigan return, and most need a Detroit one.

The Michigan return

Michigan starts from the federal adjusted gross income, applies its own additions and subtractions, and taxes the result at a flat rate. Check the current rate on the figures sheet before you file — Michigan's rate has moved in recent years.

THE HOMESTEAD PROPERTY TAX CREDIT — DO NOT MISS THIS

A refundable Michigan credit for residents whose property taxes are high relative to their income. Renters qualify too — a portion of rent is treated as property tax.

This is the single most commonly missed item for a Detroit client on a modest income, and it is real money. The client will not raise it. You have to.

On every intake: ***"Did you rent or own in 2026, and how much did you pay?"***

Detroit — three forms, one question

The question is where did they live.

FORM	WHO	WHAT IS TAXED
5118	Lived in Detroit all year	All income, resident rate
5119	Lived outside, worked in Detroit	Detroit-earned income only, lower rate
5120	Moved in or out during the year	Split across both periods

THE TRAP

No city tax withheld does not mean no city return is due. A Detroit resident whose employer did not withhold city tax still owes it — and will owe it with interest if nobody notices.

The withholding tells you what the employer believed. It does not tell you what is true.

SCENARIO · ANDRE

Andre lived in Detroit until May 31, 2026, then moved to Southfield. He worked at the same Detroit employer all year, and his W-2 shows Detroit withholding for all twelve months.

Which form?

What should you be looking for, and what will you tell him?

MODULE 7 · WEEK 9 · HANDS-ON

The Software and the Client

Knowing the law is half of it. The other half is the software, the conversation across the desk, and never promising something you cannot deliver.

The full cycle

You will do this at least three times before Module 8. Check off each pass.

STEP	PASS 1	PASS 2	PASS 3
Create the client			
Enter the data			
Attach the forms			
Clear every diagnostic			
Transmit			
Retrieve the acknowledgment			

NEVER DISMISS A DIAGNOSTIC YOU HAVE NOT READ

Clicking through fast is the habit that transmits a broken return. Read every one.

When a return rejects

REJECTION	WHAT IT USUALLY IS
Name or SSN mismatch	Usually a typo, sometimes a name change
Dependent already claimed	Someone else filed first
Missing 1095-A	The client has Marketplace coverage and did not bring the form
Prior-year AGI mismatch	An identity check, not a mistake

THE SENTENCE YOU WILL NEED MOST

"Someone else has already claimed your daughter on their return."

That is a hard thing to hear, and often the first a parent knows of it. Practice saying it calmly. Then: explain the tie-breaker rules from Module 3, find out who else may have claimed, and if your client is entitled, we file on paper and the IRS sorts it out.

Do not accuse anyone. Do not guess. Get your trainer if it gets difficult.

The intake interview — seven questions, every client

Do not just react to whatever paperwork lands on the desk. Three minutes, and they catch nearly everything.

1. Who lived in your home in 2026, and for how many months?
2. Who paid the rent or mortgage and the bills?
3. Did anything change — marriage, separation, a birth, a move, a death?
4. Any income without a form? Cash work, side jobs, apps?
5. Did you rent or own, and how much did you pay?
6. Do you get tips or overtime? Are you 65 or over?
7. Did anyone else claim your children last year?

NEVER PROMISE A REFUND DATE

The IRS does not guarantee one, and returns claiming EITC or the Additional Child Tax Credit are held by law until later in the season.

Say this instead, word for word: *"The IRS usually issues most refunds within 21 days of accepting the return, and returns with certain credits are held a bit longer."*

Promise a date and you own every day it is late — and the client will call you, not the IRS.

MODULE 8 · WEEK 10

Practice Lab

Four complete returns, built from messy piles of paper, the way they actually arrive. Then the final.

Before you touch the software, on every one of the four

1. Run the seven intake questions and write the answers down
2. List which returns this client needs — federal, Michigan, Detroit
3. List what is missing from the pack
4. Only then start entering

LAB	THE CLIENT	DONE
1	Single parent, two children, one W-2 plus rideshare income. Detroit resident, renting.	
2	Separated client whose spouse left in October, one child, disputed filing status.	
3	Retired veteran, 68. VA disability, military retirement, Social Security, part-time tipped job.	
4	Grandparent raising two grandchildren, moved out of Detroit in July, small cash cleaning income, partial records.	

THE DIFFICULT INTERVIEW

Your trainer will play a client who wants a bigger refund, is vague about who lived where, and mentions that “the last place just put it through”.

You are assessed on three things, and all three matter equally: whether you ask the right questions, whether you write down the answers, and whether you are willing to say no.

When to stop and ask

In your first season you do not handle these alone:

- IRS notices and letters
- Identity theft
- Unfiled returns from previous years
- Anything involving a company or partnership
- Anything at all you are unsure about

Asking for help is the correct professional response. It is not a mark against you, and nobody here will treat it as one.

Your first fifteen returns

Every new preparer's first fifteen returns are reviewed by an experienced preparer before they are transmitted. Review carries on until two batches in a row come back clean.

This is support, not suspicion. Everyone here went through it.

DECEMBER

The final exam

Held between December 14 and 18. Two hours. You may use your figures sheet and the forms — that is what you will have in January.

PART	COVERS	WEIGHT	NEEDED TO PASS
A	Filing status — six fact patterns	30%	80%
B	EITC eligibility — six fact patterns	30%	80%
C	One complete return	25%	70%
D	Ethics and due diligence	15%	70%

WHY A AND B NEED MORE

Filing status and the EITC are where the penalties are, where the audits happen, and where the firm's own license is on the line. Being right seven times out of ten is not enough there.

You get one retake, at least seven days later, with different scenarios. Most people who need it pass it.

Your completion checklist

You are cleared to work with clients when every one of these is true.

- ☐ 2027 PTIN issued, confirmation sent
- ☐ Firm security plan read and signed
- ☐ All eight knowledge checks passed at 70% or better
- ☐ All six assignments submitted and marked acceptable
- ☐ All four practice returns completed, with file notes
- ☐ Difficult interview assessed
- ☐ Three full software cycles completed unaided
- ☐ Final exam passed — 80% A, 80% B, 70% C, 70% D
- ☐ I can name the five things I do not handle alone

ONE LAST THING

This book teaches you not to trust the numbers in it. That is deliberate, and it is the single most useful habit in this job.

Figures change every year. The method does not. A preparer who looks it up is worth more than one who confidently remembers last year's amount.

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Tax year 2026 edition, for returns filed in 2027. Every figure in this document is checked against IRS and State of Michigan sources each October; confirm the figures sheet before the module that uses it. Training material, not tax or legal advice.